

some estimating that its size may exceed that for the entire US banking system. In essence, the repo market has become the lifeblood of the financial system.

So how does the repo financing technique relate to MF Global's situation?

Jon Corzine, as an expert bond trader, understood the financing power inherent in the repo market, and saw it as a funding mechanism that would allow MF Global to enhance corporate profits by expressing his view on the outcomes of specific bond transactions. And during 2011, in Corzine's expert opinion, there was money to be made in European bonds.

MF Global bought a lot of European bonds, and then in a chain of repo transactions used them as collateral for new loans, using the cash proceeds from these to buy yet more European bonds. In Corzine's view, the transaction wasn't risky in the sense that the firm had exposure to default risk—the European Financial Stability Facility guaranteed them—and Corzine had also engineered the bond transactions to include a repurchase obligation that occurred at the same time the bonds matured, in a so-called *repo-to-maturity* transaction. Corzine's bond transactions looked to be low risk, with a large guaranteed profit built in when the bonds were repurchased. In a sense, MF Global had become a kind of institutional-scale hedge fund, directed by Jon Corzine, and it was making a leveraged bond bet.

MF Global was, however, exposed to the risks involved in maintaining the trade itself. While the spread (price paid versus price received upon repurchase) was hugely profitable, there was the risk of margin calls and other frictional costs. If the bonds decreased in value, MF Global might have to post additional collateral to maintain its leveraged positions. At its peak, MF Global's leverage reached a reported 40-to-1 ratio. As the European sovereign debt crisis grew, FINRA required MF Global to post more and more collateral. The costs to maintain the trade quickly swamped the firm's capital base and MF Global met its steamroller.

When MF Global got overleveraged in its big repo bet, the firm's counterparties merely did what any good capitalist does when a borrower defaults: they exercised their right to take possession of the collateral on the loan. But the problem for David was that in the chaos of the collateral call the assets in his margin account became entangled with other MF Global